



Converting income into wealth

High earnings alone do not guarantee wealth. Keeping outgoings lower than income, accruing savings, and investing them wisely are key to long-term financial security.

How it works

There is no easy way to determine how much wealth is sufficient for retirement. It depends on the individual. High earners tend to have higher lifestyle expectations than those on lower incomes. They must therefore save more, and invest more, to generate the wealth they need to maintain their lifestyle during retirement.

The danger for this group is that high wages can lead to a false sense of affluence, resulting in big spending on lifestyle but little set aside in savings.

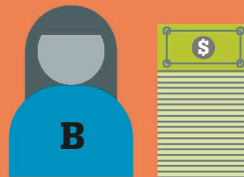
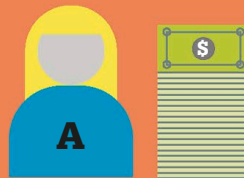
In order to start building wealth, individuals should save a proportion of their after-tax income regularly. Many financial advisers recommend setting a goal to save one-third of regular income.

When a high income fails to produce wealth

Even an individual earning a high salary is not guaranteed a secure retirement if they have poor saving habits. Setting aside a third of after-tax income might seem impossible, but even saving 10 per cent can create a decent stockpile of cash for investment over time.

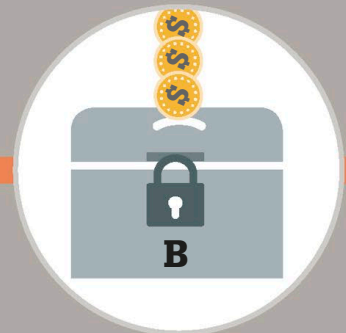
High-income earners

Two senior managers at the same company earn identical salaries. However, they use their money differently, with contrasting results.



Spending levels

High-income earner **A** is accustomed to spending money on goods with little long-term value.



Earner **B** invests in a retirement fund and shares, and saves in a high-interest account.

70% of the richest Americans claim to be self-made